

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. f/k/a/ BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

LETTER OF REQUEST

The United States Federal Maritime Commission respectfully requests international judicial assistance to obtain evidence for use in a civil proceeding before this court in the above-captioned matter. Discovery in this adversarial proceeding is set to close 10 November 2024. The pleadings are set to close 27 January 2025. The assistance requested herein is necessary in the interests of justice.

This Court requests the Judiciary of the Hong Kong Special Administrative Region of the People's Republic of China compel the appearance of Ms. Pacy Chow to give sworn testimony and evidence for use in the above-captioned matter, as further described below¹:

Witness's Name	Pacy Chow
Witness's Nationality	Hong Kong
Witness's Address	Level 31, Tower 1, Kowloon Commerce Centre 51 Kwai Cheong Road, N.T. Hong Kong
Evidence Sought	The Court requests issuance of a subpoena and/or other process necessary to compel Pacy Chow to appear by video conference to provide sworn testimony regarding her personal knowledge relating to Bed Bath and Beyond, Inc., Orient Overseas Container Line Limited, and OOCL (Europe) Limited

¹ Respondents' HCCH request is attached hereto as Exhibit A.
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DESCRIPTION OF THE CASE

Procedural Background

Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL”) are Respondents in the above-captioned adversarial proceeding brought by Bed Bath and Beyond Inc.’s successor-in-interest, 20230930-DK-BUTTERFLY-1, INC (“BBBY”). The matter is currently pending before the undersigned Chief Administrative Law Judge Erin M. Wirth of the United States Federal Maritime Commission (“FMC”). BBBY filed its Verified Complaint against OOCL on April 27, 2023. In the Verified Complaint, BBBY alleged OOCL violated the United States Shipping Act of 1984, 46 U.S.C. §§ 40101 *et seq.* (the “Shipping Act”).

Claims and Defenses

At issue in the dispute are BBBY and OOCL’s business interactions relating to OOCL’s carriage of cargo for BBBY during the pandemic years of 2020 – 2022. Specifically, BBBY claimed OOCL violated the Shipping Act by: (1) failing to meet its service commitments to BBBY; (2) charging unlawful detention and demurrage; and (3) coercing premium pricing as a condition of carriage despite contractual space commitments. BBBY also filed its Verified First Amended Complaint, adding claims of retaliation, alleging that BBBY refused to negotiate additional service contracts with BBBY because of BBBY’s complaints about OOCL’s fees and services. Through its complaints, BBBY is seeking money damages in the form of reparations for alleged excessive ocean freight and detention and demurrage charges in the amount of USD 31.7 million plus lost profits damages alleged to be over USD 1 billion. BBBY further claims entitlement to double the claimed damages due to alleged retaliation.

The procedural defenses asserted by OOCL include: (1) the Complaint fails to state a claim for which relief can be granted; (2) The Federal Maritime Commission lacks subject matter

jurisdiction over the Complaint insofar as it relates to Complainant's claim that Respondent breached the service contract because neither the facts pled in the Complaint nor the text of the contracts themselves support such claims; (3) the Commission lacks the authority to regulate the reasonableness of cargo space accommodations; (4) Complainant failed to take reasonable steps to mitigate damages; and (5) Respondent OOCL (Europe) had no involvement in the services at issue. Substantively, OOCL denies all allegations. OOCL maintains that its business practices and prices were just and reasonable, that all charges to BBY were proper, and that there was no retaliation.

DESCRIPTION OF THE TRIBUNAL

The Federal Maritime Commission ("FMC") is an independent federal agency within the United States federal government and is responsible for regulating the U.S. international ocean transportation system. As part of this responsibility, FMC has the authority to, among other things, adjudicate disputes between shippers and ocean common carriers. Specifically, the Shipping Act creates "a regime by which 'any person' may bring a formal 'complaint alleging a violation' of the Act." *South Carolina State Ports Authority v. Federal Maritime Comm.*, 243 F.3d 165, 173 (4th Cir. 2001) (quoting 46 U.S.C. § 1710). As part of this regime, FMC has authority to order a party in violation of the Shipping Act to pay money damages to an injured party. *See* 46 U.S.C. § 41305.

The party against whom a complaint is brought must either resolve the allegation or answer the complaint in writing. *South Carolina State Ports Authority*, 243 F.3d at 173. If liability is disputed, the parties are permitted to take depositions, engage in written discovery, and use other discovery procedures. *Id.* To the extent practicable, FMC adjudications follow the rules applicable in civil proceedings before the district courts of the United States. *Id.* Importantly, the

presiding judge “may also use the subpoena power to ‘compel the attendance of witnesses and the production of books, papers, documents, and other evidence.’” *Id.* The presiding judge is “functionally comparable” to that of a district court judge. *Id.* at 174.

As in a federal district court, if an appeal is taken, the case is reviewed by a Circuit Court of Appeals. No United States District Court has the power to review a decision issued by FMC. Thus, although FMC is separate from the United States judiciary, it is a tribunal under the Hague Evidence Convention because an adversarial proceeding before it such as this “walks, talks, and squawks very much like a lawsuit.” *Id.*

DESCRIPTION OF THE PROCEEDINGS

Discovery in this case is ongoing. The parties have deposed twenty-six witnesses and have additional depositions scheduled. Experts have been disclosed and expert reports from both parties have been produced. Fact testimony will close on November 10, 2024. The parties will then begin preparing written briefs for submission to the tribunal. The parties have requested an oral hearing.

DESCRIPTION OF THE INFORMATION SOUGHT

By this request, OOCL seeks fact testimony from non-party Yusen Logistics (Hong Kong) Limited, which served as the booking agent and customs broker for BBY during the relevant time. Specifically, OOCL seeks the deposition of Pacy Chow, who worked as Yusen’s Manager, Control Tower & Operations Team, Supply Chain Solutions Group, servicing BBY. The parties have deposed Yusen witnesses based in the United States, and each has referenced Ms. Chow as a witness with knowledge of relevant facts.

Ms. Chow’s testimony is important to this case as she has direct knowledge of BBY’s booking and shipping operations in Asia, which form the basis of certain claims in BBY’s

Complaint. Ms. Chow served as the lead client contact for Yusen in Asia for BBY. She is the witness most likely to have knowledge about Yusen's various records and reporting relating to BBY's shipment bookings, cancellations, declinations, and reasons for same. In the October 7, 2024 deposition of Rita Shippee (a Yusen employee in the United States) Ms. Shippee referred counsel to Ms. Chow on multiple occasions when asked about what data Yusen may have relating to BBY shipments with OOCL. Specifically, Ms. Chow may be asked about her knowledge relating to:

- Ocean freight rates for cargo carried by OOCL and other major ocean carriers in 2019-2022;
- Ocean freight rates paid by BBY to OOCL and other carriers utilized by BBY in 2019-2022;
- The scope of Yusen's responsibilities pertaining to its customer BBY and Ms. Chow's personal interactions with BBY and OOCL relating to same in 2019-2022;
- Yusen's booking agent activities and other work undertaken by Yusen on BBY's behalf in 2019-2022;
- Yusen's reporting and data analysis relating to BBY's shipments and/or OOCL's carriage for BBY during 2019-2022;
- Ms. Chow's awareness of any complaints raised with OOCL on BBY's behalf relating to cargo carriage, vendor issues, rates, detention and demurrage, or other issues in 2019-2022;
- Conditions in Asian origin ports affecting the rail and ocean shipping industries in 2019-2022;
- BBY's shipping volumes in 2019-2022;
- Land-side transportation issues involving or impacting BBY's vendors in Asia in 2019-2022, including availability of trucks, truck drivers, chassis, marine terminal appointments, double-moves, rail constraints, COVID restrictions, and any other congestion issues pertaining to BBY's or its vendors' ability to deliver containers to marine terminals;
- Land-side transportation issues involving or impacting BBY's ability to

remove import containers from U.S. marine terminals after arrival, including BBBY's U.S. warehouse space, availability of trucks, truck drivers, chassis, marine terminal appointments, double-moves, rail constraints, COVID restrictions, and any other congestion issues pertaining to BBBY's handling of containers from the time such containers leave the marine terminal until the time they are returned; and

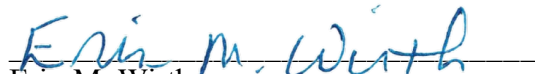
- Other matters relevant to ocean freight rates, shipping lanes/routes, quantity commitments, detention and demurrage, and BBBY's ocean shipping during 2019-2022.

CONCLUSION

For the reasons described herein, this Court respectfully requests that Ms. Chow be compelled to provide sworn testimony regarding her knowledge of the facts in issue in this case through a remote video deposition to be completed prior to 10 November 2024 at a time convenient to the witness.

This request is made in the interest of justice and so that the parties and this Court may understand the full facts surrounding this dispute. The undersigned and the FMC greatly appreciate your consideration of this request.

Respectfully submitted,


Erin M. Wirth
Chief Administrative Law Judge
Federal Maritime Commission

DATED: 5 November, 2024.